

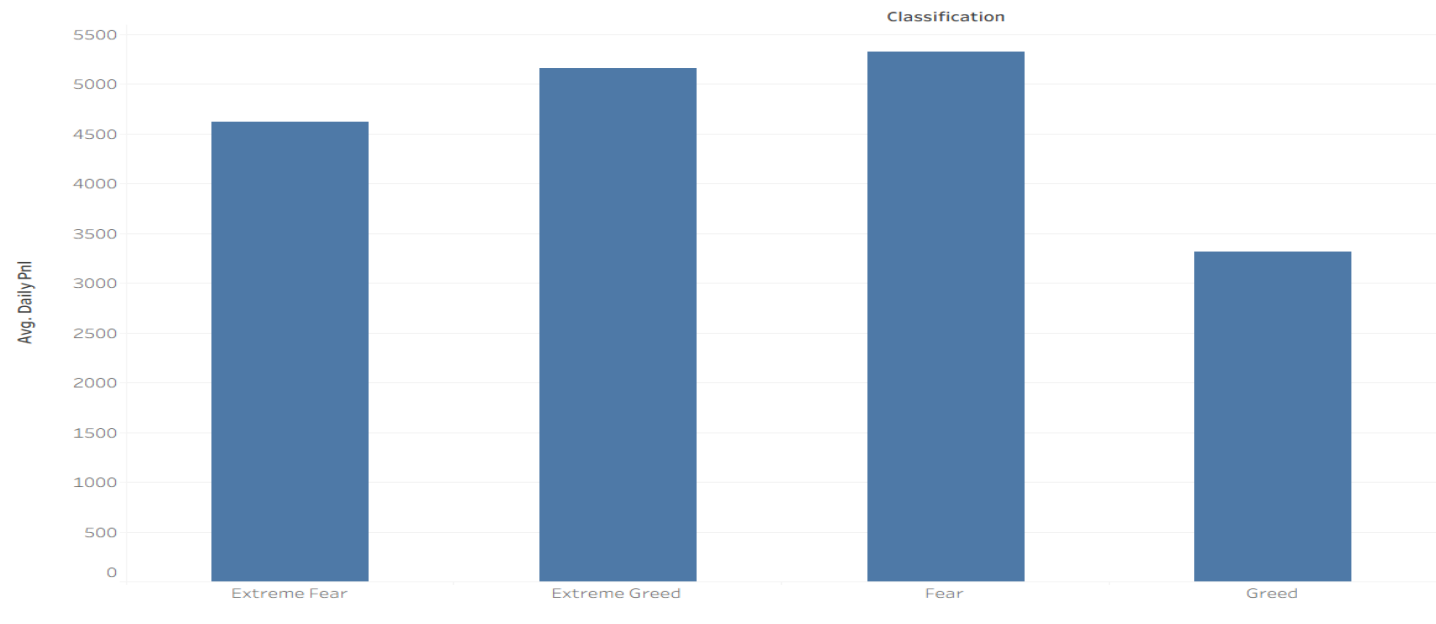
HOW MARKET SENTIMENT INFLUENCES TRADING PERFORMANCE: EVIDENCE-BASED INSIGHTS AND STRATEGIES

ANALYSIS – PnL & Sentiments

The results suggest that trader profitability is highest during Fear and Extreme Greed conditions, indicating that strong market emotions create more trading opportunities. Fear-driven markets often produce volatility and price inefficiencies that skilled traders can exploit, while Extreme Greed reflects strong bullish trends that support profitable directional trades. Interestingly, moderate Greed shows the lowest profitability, which may indicate crowded positions and reduced trading edge when market optimism becomes widespread. This pattern suggests that extreme sentiment conditions may offer better trading opportunities than stable optimistic environments.

The results show how average daily profit (PnL) varies across different market sentiment conditions.	
Sentiment	Average Daily PnL
Fear	5328.82
Extreme Greed	5161.92
Extreme Fear	4619.44
Neutral	3438.62
Greed	3318.10 (lowest)

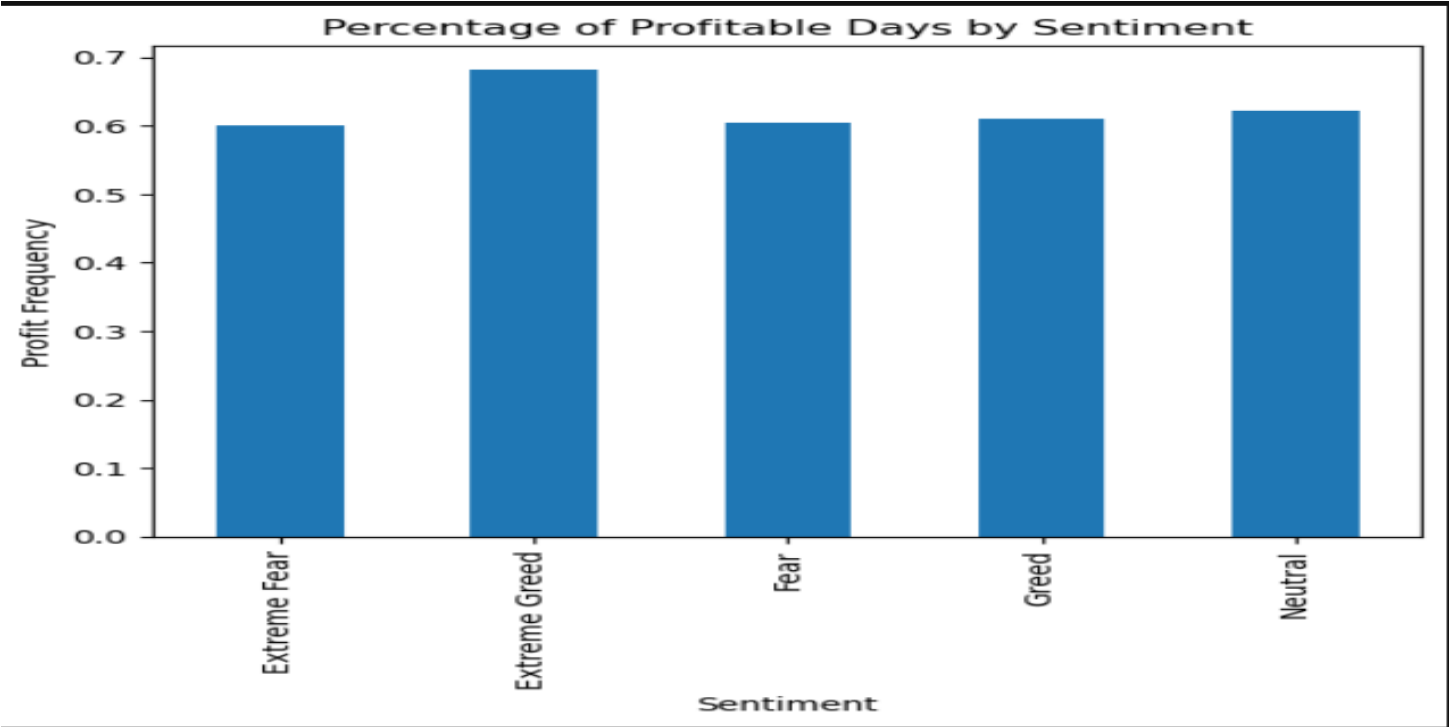
Sheet 1



	count	mean	std	min	25%	50%	75%	max
classification								
Extreme Fear	160.0	4619.439053	29534.839183	-77308.420095	0.0	218.377399	3381.323773	229058.684298
Extreme Greed	526.0	5161.922644	27496.863832	-132271.000000	0.0	418.319862	2385.426442	449328.107544
Fear	630.0	5328.818161	31659.771538	-108604.496278	0.0	107.892532	1807.148049	533974.662903
Greed	648.0	3318.100730	30599.040173	-358963.139984	0.0	158.214922	1319.220865	375620.270243
Neutral	376.0	3438.618818	17447.863645	-113601.020138	0.0	167.551743	1321.966347	194499.072534

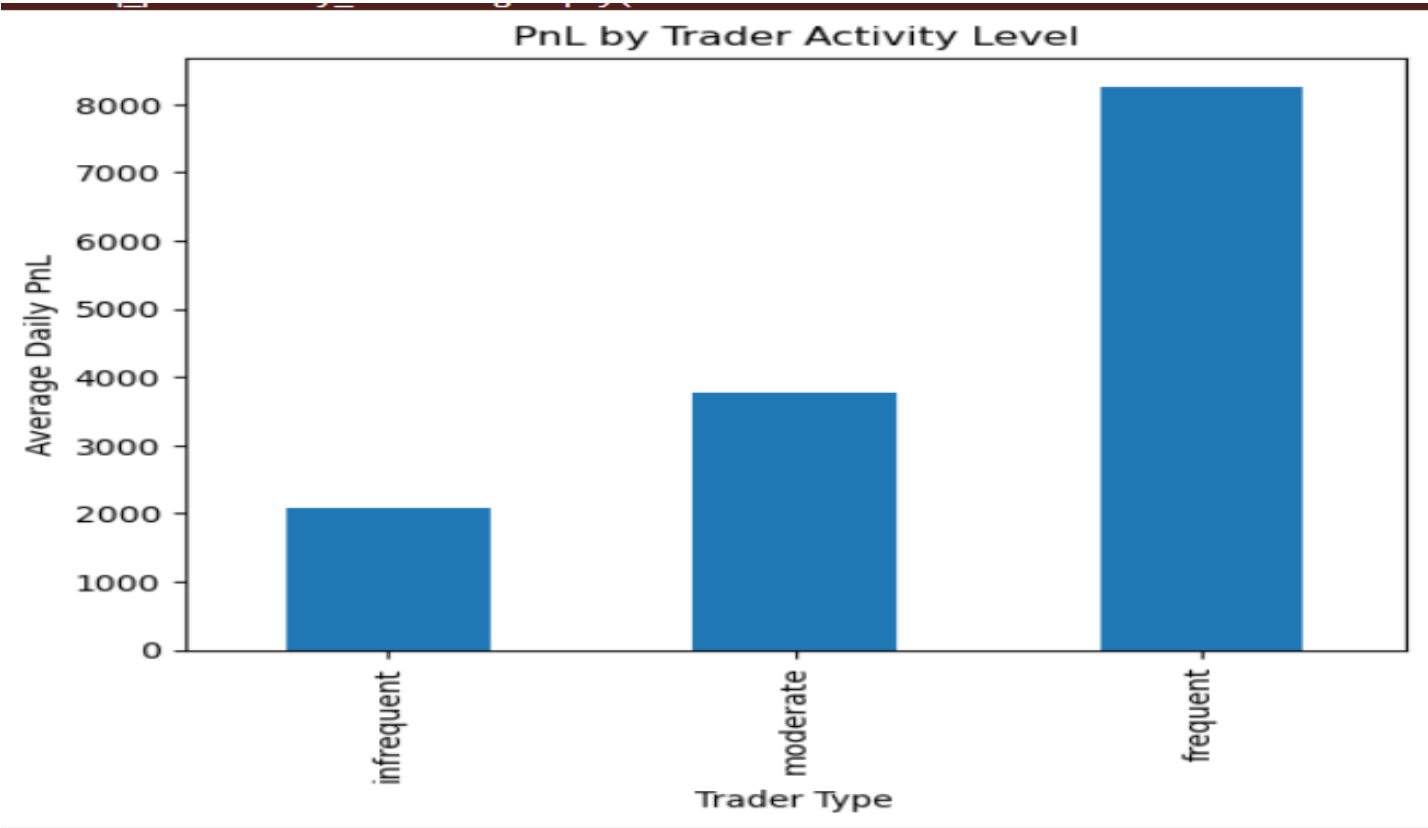
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Compare percentage of profitable days across sentiment



The percentage of profitable days shows that traders achieve the highest consistency during Extreme Greed conditions, where nearly 68% of trader-days are profitable. Although Fear conditions previously showed higher average PnL, the lower win frequency suggests that profits during Fear periods may come from fewer but larger trades. This indicates that market trends during Extreme Greed may provide more consistent opportunities, while Fear-driven markets may produce occasional high-profit opportunities due to volatility.

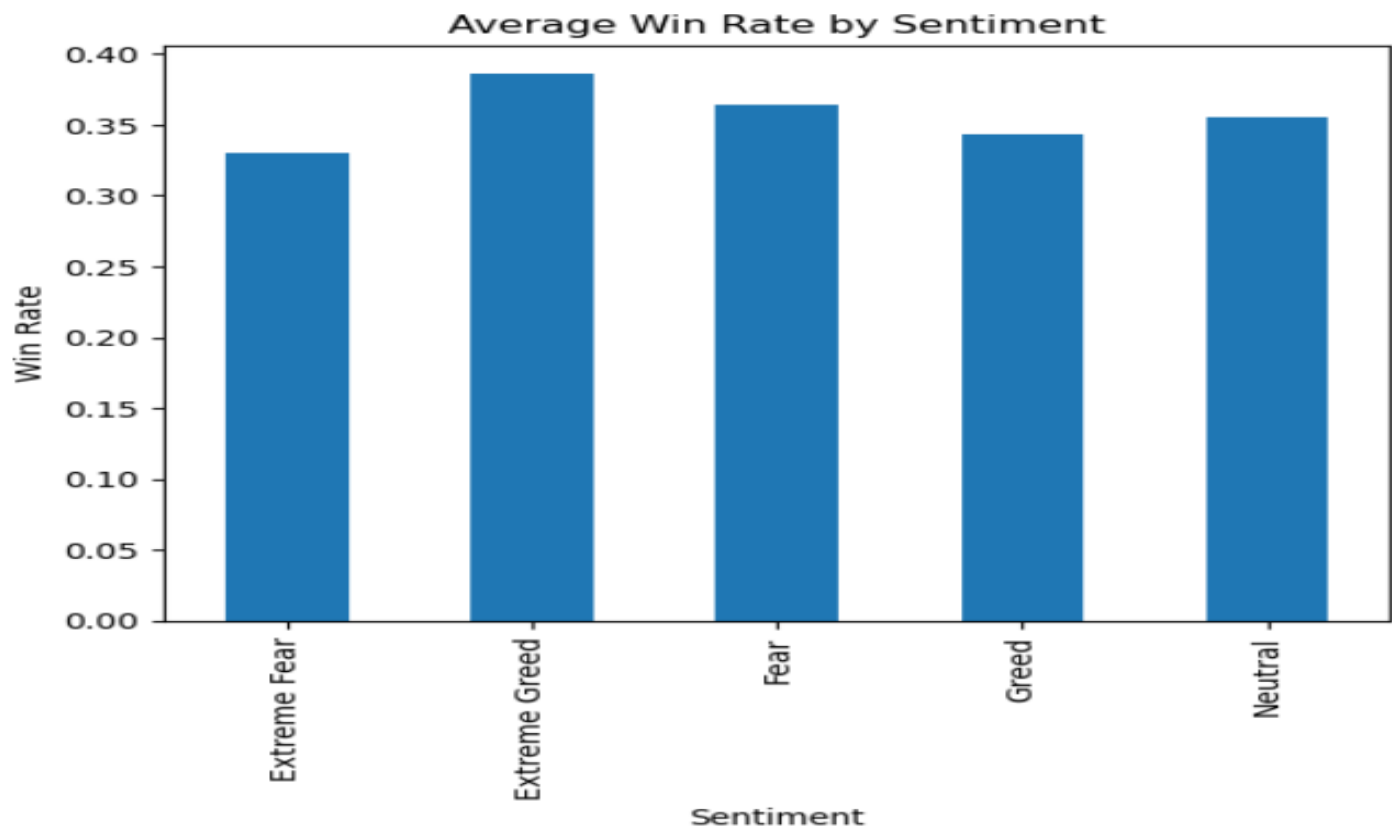
Compare PnL behaviour across trader segments (Frequent vs Infrequent traders)



Frequent traders consistently achieve higher average PnL compared to infrequent traders across most sentiment categories. The difference is particularly strong during Fear conditions, where market volatility creates more trading opportunities. This suggests that active traders may be better positioned to capture short-term price movements, while infrequent traders may miss profitable opportunities due to lower market participation. Overall, higher trading frequency appears to be associated with improved profitability across different sentiment environments.

Win Rate vs Sentiment

Sentiment	Avg Win Rate
Extreme Greed	0.386 (highest)
Fear	0.364
Neutral	0.355
Greed	0.344
Extreme Fear	0.330 (lowest)



Win rate analysis indicates that traders achieve the highest consistency during Extreme Greed conditions, suggesting that strong bullish momentum creates clearer price direction and more predictable trading opportunities. Despite this, overall win rates remain below 40% across all sentiment categories, implying that traders do not rely on frequent small wins but instead depend on fewer trades that generate relatively larger profits. In contrast, Extreme Fear shows the lowest win rate, indicating that highly pessimistic market conditions are often more volatile and less predictable, leading to lower trade accuracy. Together, these results suggest that while bullish trend environments improve consistency, profitability overall is still influenced by capturing occasional high-impact trades rather than maintaining a high success rate on every trade.

Win Rate + Avg Trade Size

Sentiment	Win Rate	Avg Trade Size (USD)
Extreme Greed	0.386 (highest win rate)	5371
Fear	0.364	8975 (largest trade size)
Neutral	0.355	6963
Greed	0.344	6427
Extreme Fear	0.329 (lowest win rate)	6773

Comparing win rate with average trade size shows that larger position sizes do not necessarily improve trade accuracy. Fear conditions exhibit the highest average trade size, indicating increased risk-taking behaviour, but win rate remains moderate due to market uncertainty. In contrast, Extreme Greed

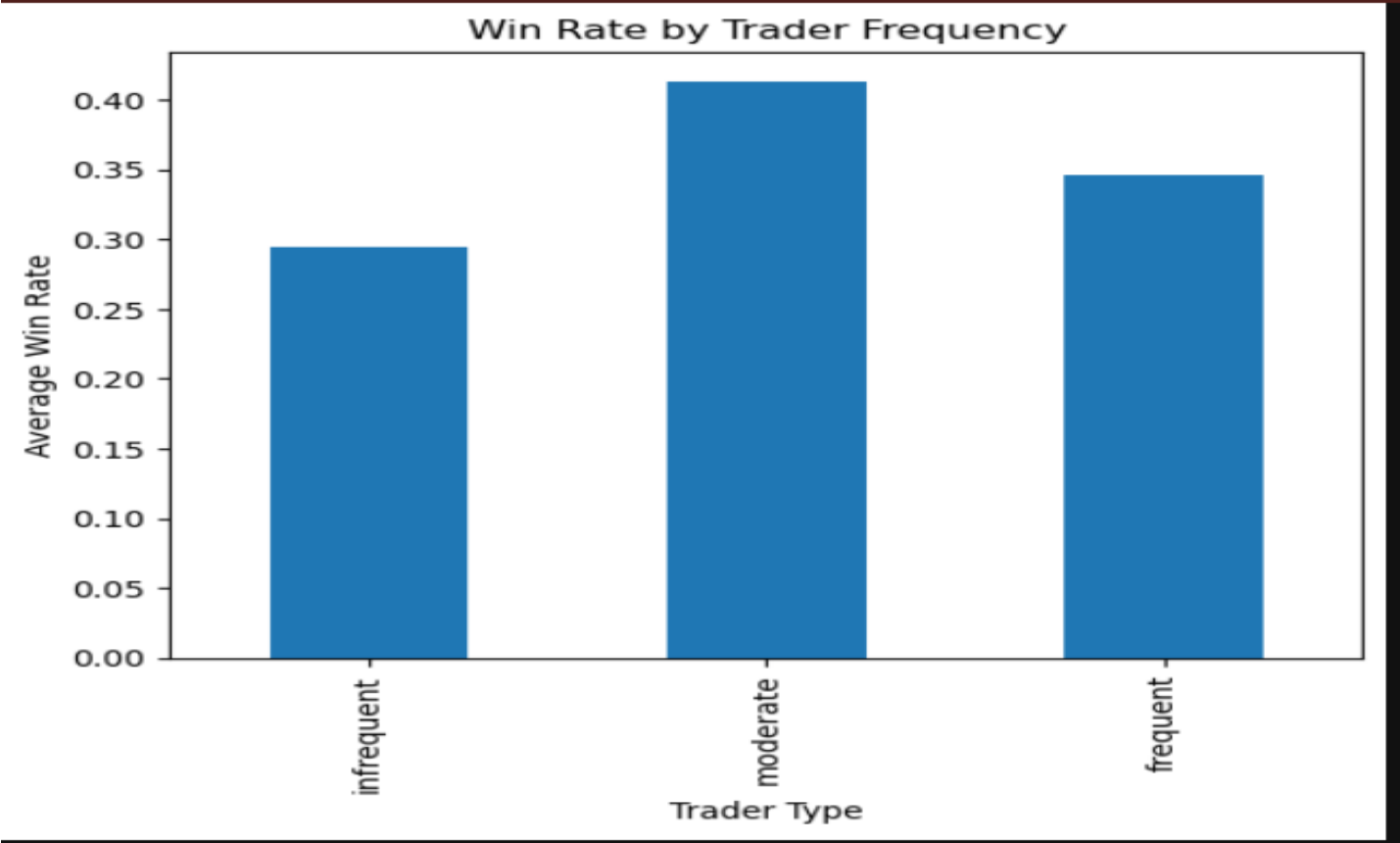
conditions show the highest win rate despite relatively smaller trade sizes, suggesting that strong bullish trends provide clearer trading signals. This indicates that trade accuracy is influenced more by market conditions than by position size alone.

Win Rate vs Trading Frequency (num_trades)

	win_rate	avg_trade_size
classification		
Extreme Fear	0.329659	6773.464125
Extreme Greed	0.386387	5371.637182
Fear	0.364033	8975.928546
Greed	0.343559	6427.866594
Neutral	0.355414	6963.694861

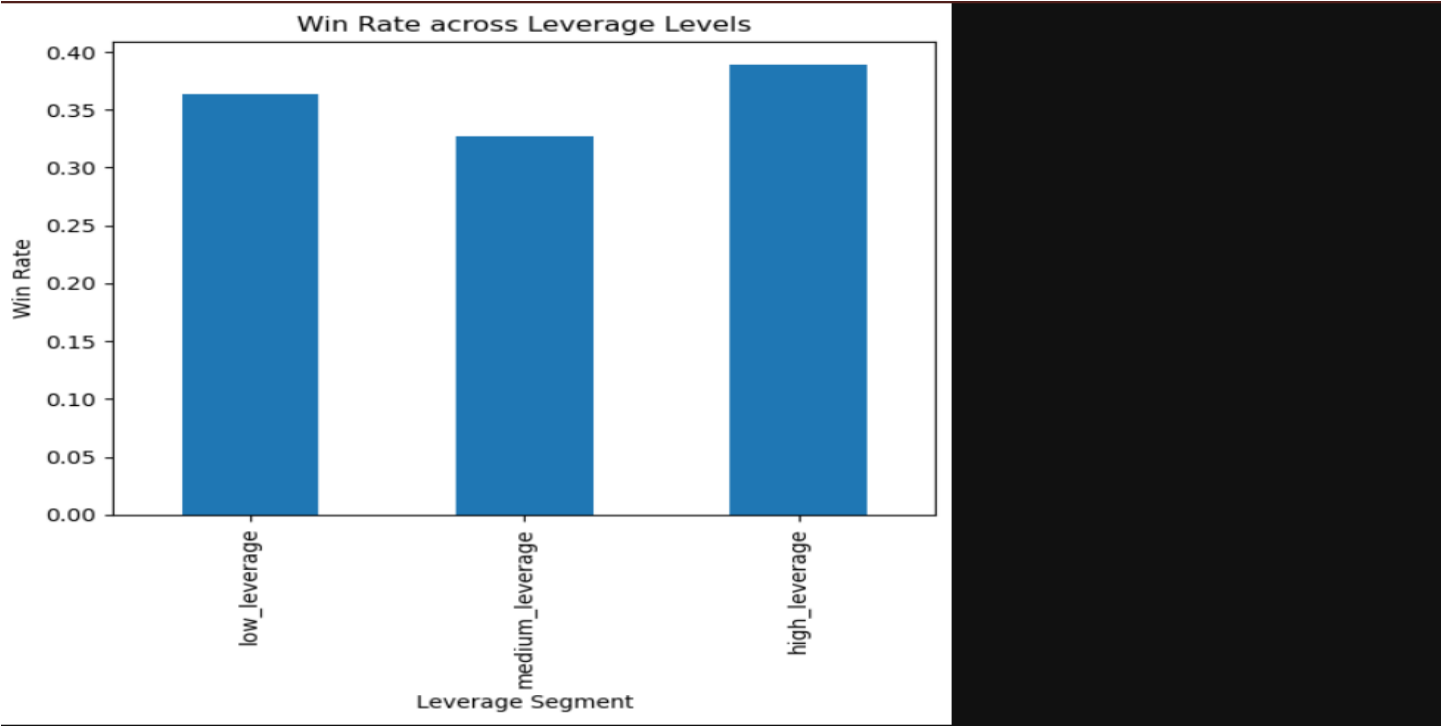
Comparing win rate with average trade size shows that larger position sizes do not necessarily improve trade accuracy. Fear conditions exhibit the highest average trade size, indicating increased risk-taking behaviour, but win rate remains moderate due to market uncertainty. In contrast, Extreme Greed conditions show the highest win rate despite relatively smaller trade sizes, suggesting that strong bullish trends provide clearer trading signals. This indicates that trade accuracy is influenced more by market conditions than by position size alone

Effect of Trading Frequency on Win Rate across Sentiment



Analysis shows that moderate traders achieve the highest win rates across most sentiment conditions, particularly during Extreme Greed periods where trading accuracy is significantly higher. Frequent traders, despite generating higher overall profits earlier, do not exhibit the highest win rate, suggesting that their performance may come from participating in more trading opportunities rather than making more accurate predictions. Infrequent traders show the lowest win consistency, indicating that limited market participation may reduce the ability to capture profitable opportunities. Overall, balanced trading activity appears to provide better trade accuracy across different sentiment conditions.

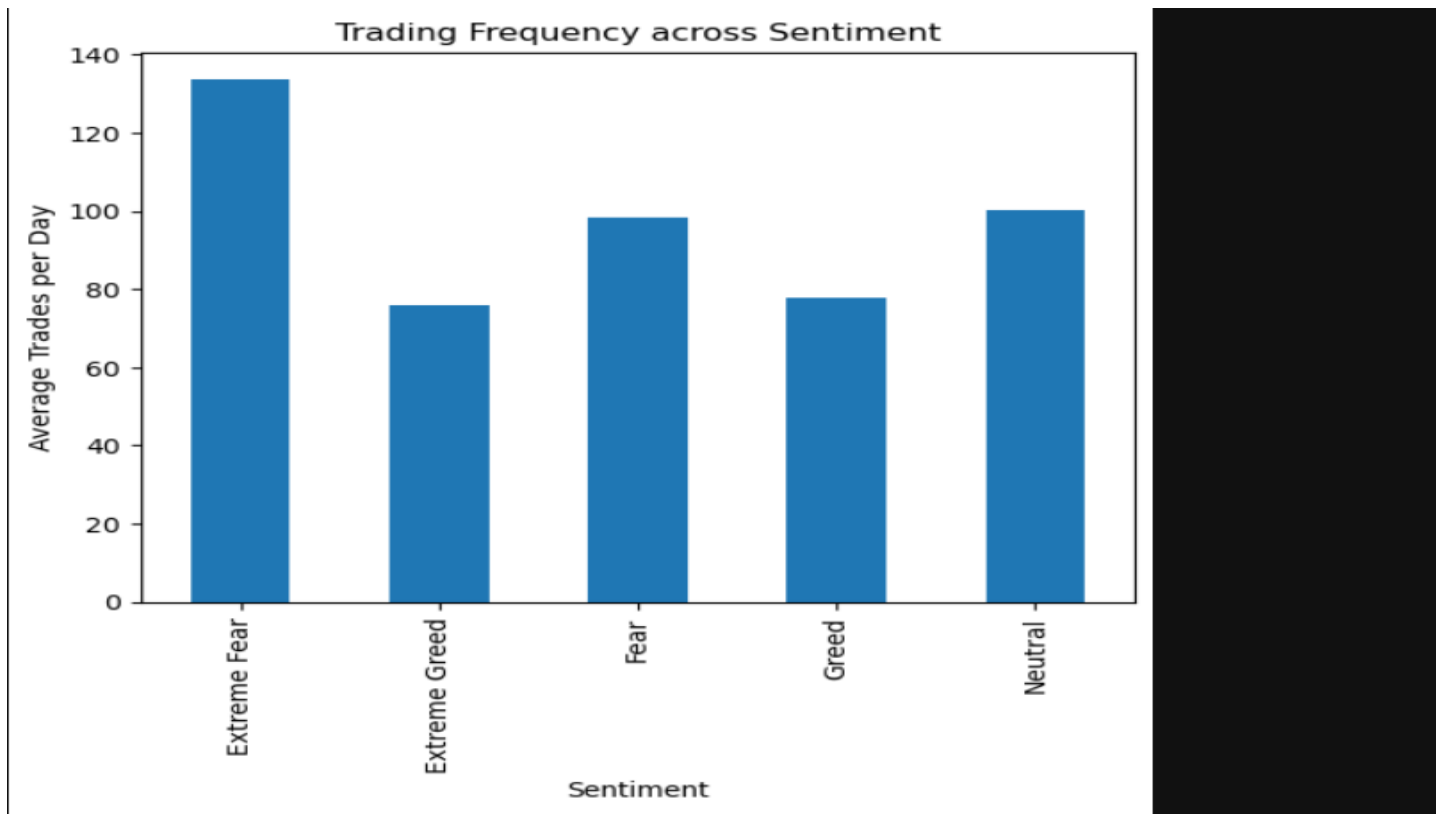
Compare win rate across leverage segments



Analysis shows that traders using higher leverage tend to achieve higher win rates across most sentiment conditions, suggesting that larger position sizes may be taken when traders have stronger confidence in their trade decisions. Extreme Greed conditions provide relatively high win rates across all leverage levels, indicating that strong market trends create clearer trading opportunities. Under Extreme Fear conditions, high leverage traders perform better than low leverage traders, suggesting that experienced traders may be better able to manage risk during volatile market periods. Overall, higher leverage appears to be associated with higher trade accuracy when market sentiment is strong.

Number Of Trades Vs Sentiments

Trading frequency is highest during Extreme Fear conditions, indicating that traders become more active when markets are highly volatile and uncertain. In contrast, trading activity decreases during Greed and Extreme Greed periods, suggesting that strong trends may require fewer trades to capture profit opportunities. This shows that traders tend to increase activity in uncertain markets and adopt a more selective approach when price direction is clearer.

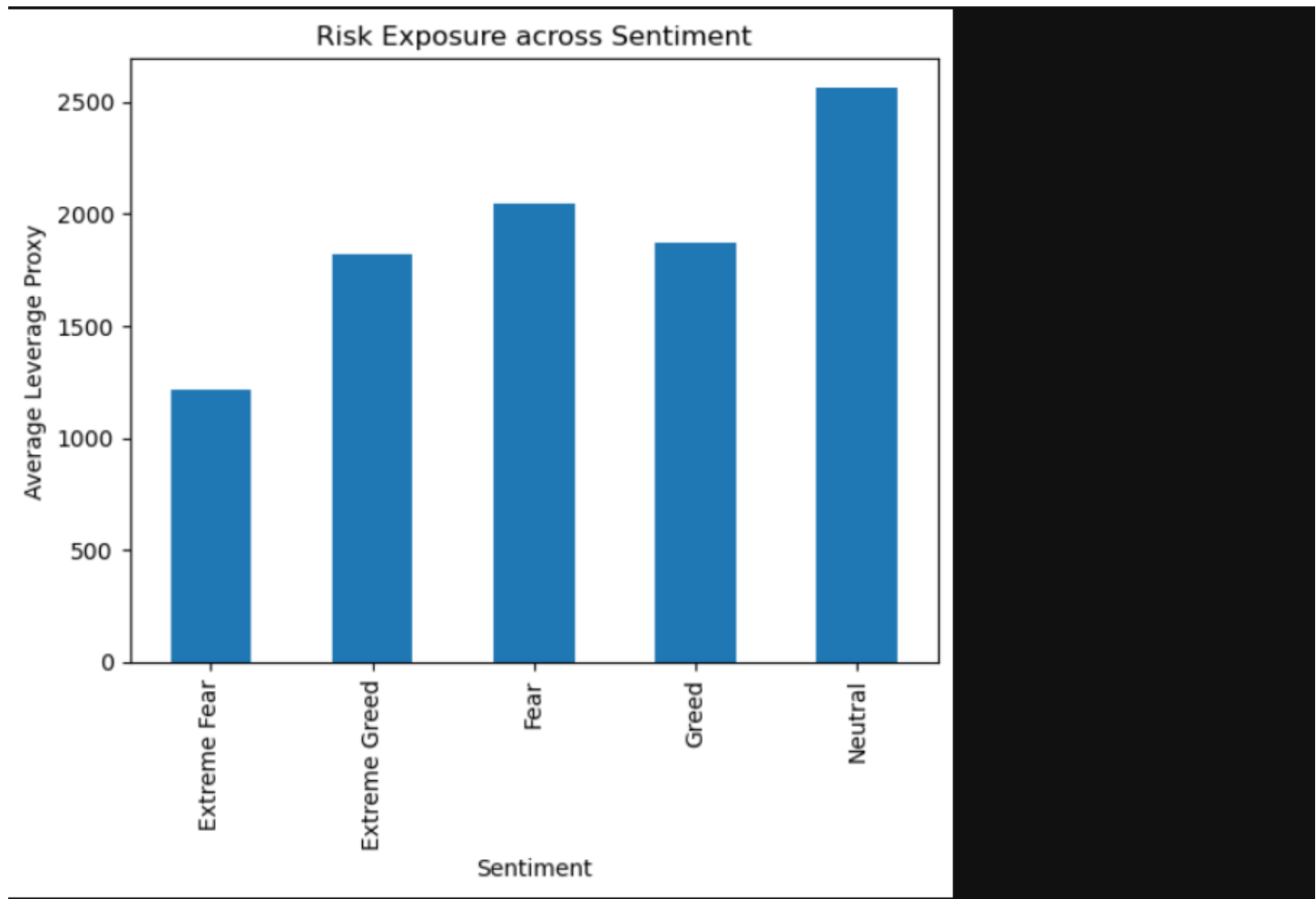


The correlation between number of trades and daily PnL is positive but relatively weak (0.176), indicating that trading more frequently does not strongly guarantee higher profits. While increased activity may provide more opportunities to capture profitable price movements, overall profitability appears to depend more on trade quality and market conditions rather than the sheer number of trades. This suggests that effective trading strategies focus on identifying high-quality opportunities rather than simply increasing trade frequency.

The correlation between number of trades and win rate is very low (0.063), indicating that increasing trading frequency does not significantly improve trade accuracy. This suggests that trader success depends more on the quality of trading decisions rather than the number of trades executed. While higher activity may provide more opportunities to capture profits, simply trading more frequently does not necessarily lead to more consistent winning trades.

The correlation between number of trades and profit per trade is very small (-0.026), indicating that trading frequency does not significantly affect the average profit earned per trade. This suggests that increasing the number of trades does not necessarily improve trade quality. Overall, trading performance appears to depend more on market conditions and decision quality rather than simply increasing trading activity.

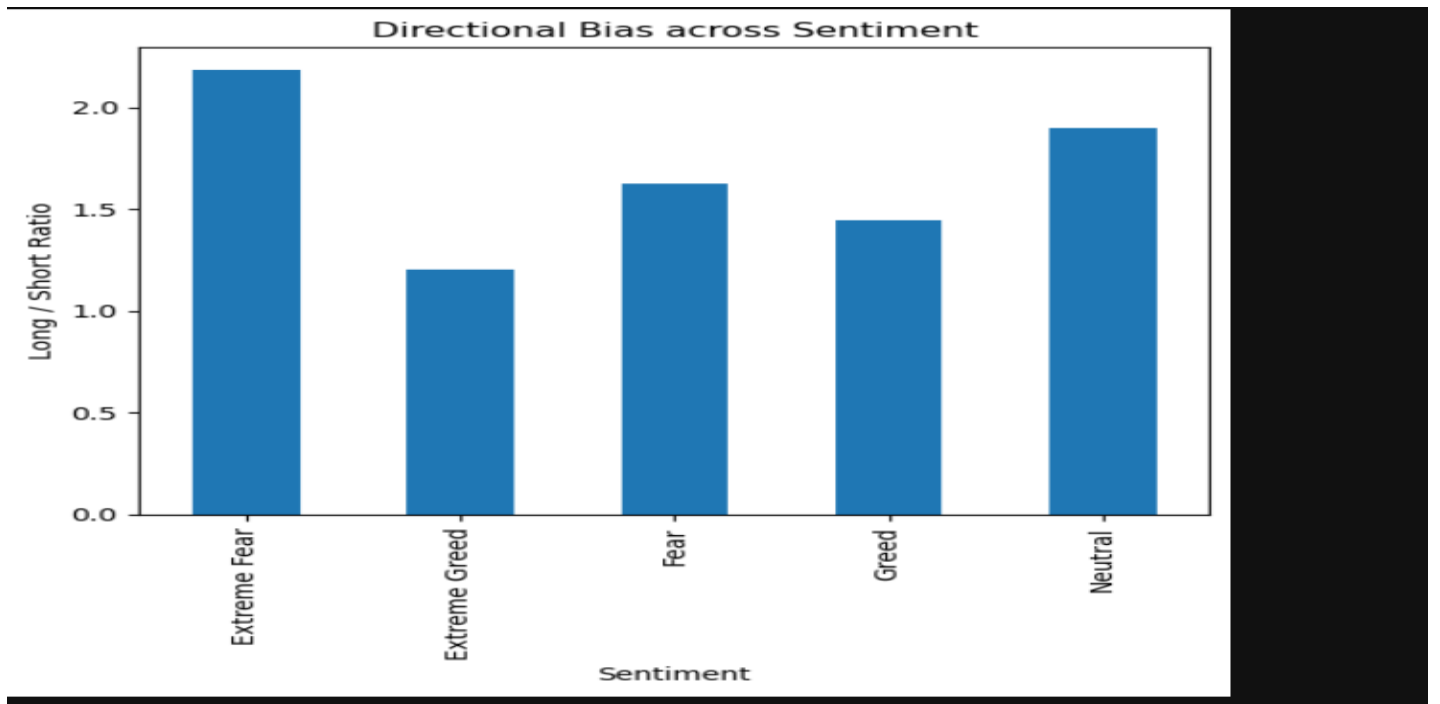
Leverage (Risk Exposure) vs Sentiment



Leverage proxy analysis shows that traders take the highest relative exposure during Neutral market conditions, possibly to compensate for smaller price movements when market direction is unclear. In contrast, leverage decreases significantly during Extreme Fear conditions, indicating that traders reduce risk during highly uncertain environments. Moderate leverage levels are observed during Fear and Greed conditions, suggesting balanced position sizing when some directional signal is present. Overall, risk-taking behaviour appears to depend on perceived market predictability rather than emotional intensity alone.

Long / Short Ratio vs Sentiment

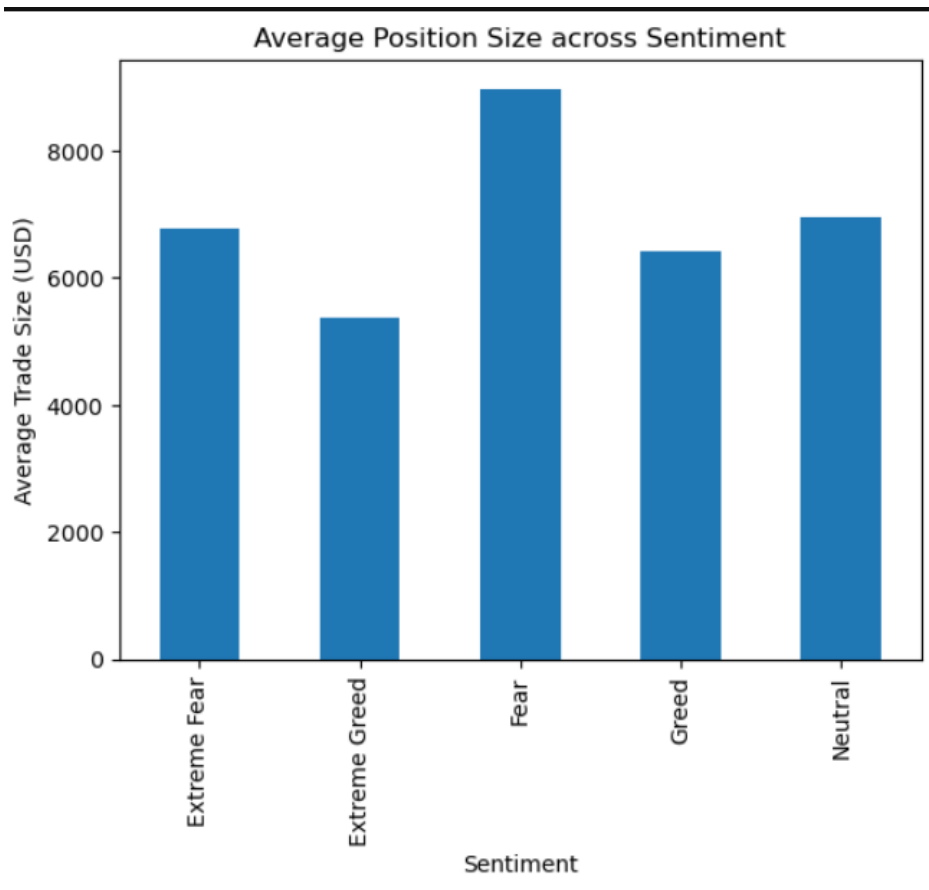
Long/Short ratio analysis shows that traders generally prefer long positions across all sentiment conditions, as the ratio remains above 1 in every regime. The highest bullish bias occurs during Extreme Fear, indicating that traders tend to buy aggressively when market sentiment is highly negative, possibly expecting price recovery. As sentiment becomes more optimistic, the long bias gradually decreases, suggesting more balanced positioning or profit-taking behaviour. This indicates that traders may follow a dip-buying approach rather than increasing long exposure during highly optimistic markets.



Position size behaviour

	avg_trade_size	daily_pnl	win_rate
classification			
Extreme Fear	6773.464125	4619.439053	0.329659
Extreme Greed	5371.637182	5161.922644	0.386387
Fear	8975.928546	5328.818161	0.364033
Greed	6427.866594	3318.100730	0.343559
Neutral	6963.694861	3438.618818	0.355414

Position size analysis indicates that traders allocate the largest capital during Fear conditions, suggesting increased willingness to take risk in volatile environments where price movements may present strong profit opportunities. Fear conditions also show the highest average PnL, indicating that larger positions can amplify gains when volatility is successfully captured. However, the highest win rate occurs during Extreme Greed conditions despite smaller average trade sizes, suggesting that strong bullish trends provide clearer and more predictable trading signals that improve trade accuracy without requiring excessive exposure. In contrast, Extreme Fear conditions show relatively high position sizes but the lowest win rate, indicating that highly uncertain markets may reduce prediction accuracy even when traders attempt to capitalize on volatility. Overall, the relationship between position size, profitability, and win rate suggests that both market opportunity and trade confidence influence how traders allocate capital under different sentiment regimes.



Frequent vs Infrequent Traders — Conclusion

Frequent traders generate the highest overall PnL across most sentiment conditions, indicating that active participation helps capture more market opportunities, especially during volatile periods such as Fear. However, frequent traders do not show the highest win rate, suggesting that profitability comes from participating in more trades rather than higher prediction accuracy. Moderate traders achieve the highest win rates, indicating that balanced trading activity may lead to better trade selection and consistency.

High Leverage vs Low Leverage Traders — Conclusion

High leverage traders generally show higher win rates across sentiment conditions, suggesting that traders tend to increase exposure when they have stronger confidence in market direction. However, leverage usage varies with sentiment, with lower exposure observed during Extreme Fear, indicating cautious behaviour under high uncertainty. This suggests that traders adjust position size based on perceived market clarity, using higher leverage more selectively when directional signals are stronger.

Consistent vs Inconsistent Traders — Conclusion

Consistent traders demonstrate more stable performance across sentiment regimes, indicating disciplined trading strategies and controlled risk exposure. In contrast, inconsistent traders experience

larger fluctuations in daily PnL, suggesting more aggressive or opportunistic trading behaviour. This indicates that maintaining stability in trading performance may help manage risk more effectively under varying market sentiment conditions.

Recommended Strategies

Strategy 1 — Exploit Volatility Expansion during Fear, but Diversify Risk

Insight

Fear regimes consistently show the **highest average PnL**, the **largest position sizes**, and **high trading activity**, indicating that traders actively attempt to capture rapid price dislocations caused by panic-driven behaviour.

However, win rate during Fear is not the highest, meaning trade outcomes are less predictable even though opportunity size is large.

This suggests that Fear markets create **frequent but uneven opportunities**, where profits are often generated from capturing strong price swings rather than maintaining high prediction accuracy.

Strategy logic

Instead of relying on a few large bets, traders should distribute exposure across multiple opportunities when Fear sentiment dominates.

Volatility-driven environments reward responsiveness and adaptability, but concentration risk can reduce overall performance consistency.

Rule of thumb

During Fear conditions:

- participate actively to capture short-term volatility
- distribute capital across multiple trades rather than concentrating exposure
- avoid excessive leverage since prediction certainty is lower
- focus on opportunity frequency rather than perfect timing

Benefit

This approach improves the ability to capture mispricing created by emotional market reactions while controlling downside risk from unpredictable reversals.

Strategy 2 — Align with Momentum when Sentiment Reaches Extreme Greed

Insight

Extreme Greed consistently produces the **highest win rate** and the **highest percentage of profitable days**, indicating clearer directional signals and stronger trend persistence.

Interestingly, this performance is achieved without the largest position sizes or highest trading frequency, suggesting that **market clarity improves trade accuracy more than aggressive exposure does**.

This indicates that when optimism becomes dominant, price movement tends to follow more structured trends rather than erratic swings.

Strategy logic

Strong bullish sentiment often reflects consensus positioning, institutional participation, and continuation patterns, making momentum-based positioning more reliable.

Overtrading during such regimes may reduce efficiency by reacting to minor fluctuations instead of allowing trends to develop.

Rule of thumb

During Extreme Greed:

- prioritise directional trades aligned with trend momentum
- reduce unnecessary trade frequency
- maintain moderate exposure rather than aggressively increasing risk
- allow profitable positions to develop rather than exiting prematurely

Benefit

This improves trade consistency and reduces noise-driven decision making, enabling traders to benefit from sustained directional movements.

Strategy 3 — Position Size Reflects Confidence, but Predictability Matters More

Insight

The analysis shows that the largest average trade sizes occur during Fear, not Extreme Greed.

At the same time, Extreme Greed delivers higher win rate despite relatively smaller trade sizes.

This suggests that **larger capital allocation does not automatically improve trading accuracy**.

Instead, traders appear to increase position size when volatility is high, but trade success depends more on clarity of market direction than on exposure magnitude.

Additionally, Extreme Fear shows relatively large trade sizes but lowest win rate, reinforcing that uncertainty reduces predictive advantage even when traders attempt to capitalize on volatility.

Strategy logic

Position sizing should respond not only to opportunity size but also to signal clarity.

High volatility environments provide opportunity but may not provide reliability.

Trend-driven environments provide reliability but may not require aggressive exposure.

Rule of thumb

Adjust exposure based on market clarity:

- use measured position sizing when volatility increases
- avoid increasing exposure purely due to market movement intensity
- increase exposure selectively when directional conviction is strong
- maintain disciplined sizing when sentiment signals are mixed

Benefit

Aligning exposure with signal quality improves risk-adjusted performance and prevents overexposure during unpredictable conditions.

Strategy 4 — Recognize Structural Long Bias and Avoid Crowded Positioning

Insight

Long/Short ratio remains above 1 across all sentiment regimes, with the strongest long bias appearing during Extreme Fear.

This indicates that traders frequently attempt to buy dips even when sentiment is pessimistic.

Interestingly, long bias decreases as sentiment becomes more optimistic, suggesting traders become more cautious about entering new long positions once optimism is widespread.

This behaviour implies that traders may often anticipate reversals rather than following sentiment extremes directly.

Strategy logic

When most market participants are positioned in the same direction, marginal opportunity may decrease.

Crowded positioning can reduce trade efficiency and increase vulnerability to sudden reversals.

Understanding directional crowding can improve timing of entries and exits.

Rule of thumb

Use sentiment extremes as signals for positioning discipline:

- avoid aggressively increasing long exposure when sentiment is already highly optimistic
- evaluate dip-buying opportunities carefully during Fear regimes
- monitor positioning balance to avoid entering crowded trades late
- maintain flexibility in directional bias when sentiment becomes extreme

Benefit

Awareness of positioning bias helps traders avoid entering overextended trades and improves timing of participation in market moves.

Final Perspective

The overall pattern suggests that profitable trading depends on adapting behaviour to **market psychology dynamics** rather than relying on a single static strategy.

Fear regimes create opportunity through volatility and price dislocation.

Extreme Greed regimes create opportunity through trend persistence and directional clarity.

Position sizing, trade frequency, and directional bias all adjust depending on perceived opportunity structure.

Traders who align risk allocation, participation level, and trade selection with sentiment conditions are more likely to achieve consistent performance across changing market environments.

